Mondragon
TAX & ADVISORY

TIME-SENSITIVE

You missed April 15th. *Now what?*

Missing the tax deadline isn't the end of the world — but ignoring it can be. Here's exactly what it means, what it costs, and what you should do right now to get back on track.

IF YOU OWE TAXES

Penalties start immediately

Failure-to-file and failure-to-pay penalties begin accruing the day after the deadline — every month you wait costs more.

IF YOU'RE OWED A REFUND

You have more time than you think

No penalties apply if the IRS owes you money. You have 3 years to claim your refund — but waiting still doesn't make sense.

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STEP ONE

Which situation are you *actually* in?

The right move depends entirely on where you stand. Most people don't know their situation is far more manageable than they fear.

✓ BEST CASE

You're owed a refund

The IRS doesn't charge penalties when they owe *you* money. Filing late means you've just been giving the government an interest-free loan. File now and collect what's yours.

$0
in late penalties

⚠️ You have 3 years from the original due date to claim your refund. After that — it's gone, no exceptions.

⚠ MOST COMMON

You owe — and didn't file or extend

This is the most expensive position to be in. Two separate penalties are now accruing simultaneously, plus interest. The single most important thing you can do: **file something today.**

5% + 0.5%
per month in penalties, plus interest

Filing — even an estimate — stops the larger penalty immediately.

— MANAGEABLE

You filed an extension and owe

You stopped the failure-to-file penalty by extending. But the extension only gave you more time to *file* — not more time to *pay*. Unpaid taxes from April 15th are still accruing interest and failure-to-pay penalty.

0.5%
per month penalty (+ interest) — manageable

🚨 MOST SERIOUS

You haven't filed for multiple years

Multiple unfiled years compounds penalties and flags your account for IRS scrutiny. Federal tax liens can begin attaching to your property and credit. This requires a clear resolution strategy — the sooner you start, the better.

Up to 25%
failure-to-file penalty per year, per return

ONE THING TO KNOW RIGHT NOW

The IRS will never call you. If someone calls claiming to be the IRS demanding immediate payment — **hang up.** It is a scam. The IRS communicates exclusively by mail. Always.

THE NUMBERS

What it actually *costs* to wait

Penalties and interest are calculated on what you owe — not what you filed. Here's the breakdown by penalty type.

PENALTY TYPE	RATE	WHAT STOPS IT
Failure to File IRC § 6651(a)(1)	5% per month Max: 25% of unpaid tax	Filing your return (even with an estimate — you can amend later)
Failure to Pay IRC § 6651(a)(2)	0.5% per month Max: 25% of unpaid tax	Paying your balance in full
Interest IRC § 6621 — compounded daily	~8% annually Fed short-term rate + 3%	Paying your balance in full
Combined (both penalties active) When you haven't filed or paid	~5.5% per month ≈ 6–7% when including interest	File immediately — even an estimate — to drop to 0.5%

REAL EXAMPLE — $10,000 OWED, NO FILING, NO EXTENSION

After 1 month
~$558
$500 FTF + $50 FTP + ~$8 interest

After 3 months
~$1,680
$1,500 FTF + $150 FTP + ~$30 interest

After 5 months (FTF maxes)
~$2,800+
$2,500 FTF (maxed) + $250 FTP + interest continues

✓ IF YOU FILE TODAY

You eliminate the 5% failure-to-file penalty immediately — even if you can't pay yet. **Filing without paying is always better than not filing at all.** You can amend the return later with no penalty.

⚠ FIRST-TIME PENALTY ABATEMENT

If this is your first time with a penalty and you have a clean prior filing history, you may qualify to have penalties **waived entirely** through IRS First-Time Penalty Abatement. An advisor can request this on your behalf.

THE ESCALATION

What happens when you *ignore* IRS notices

The IRS is methodical — not fast. But the process is real, and it escalates in a predictable way. Here's what the timeline looks like.

DAY 1+

Penalties and interest begin accruing

The clock starts the day after the deadline. Every month you don't file or pay, the balance grows. This phase is silent — no letters yet, but the meter is running.

ACT NOW — STOP THE BLEEDING

WEEKS TO MONTHS

IRS mails CP14 — first balance due notice

This is your official notice that you owe. Do not ignore it. Do not put it in a drawer. Opening this letter and taking action is the single most important thing you can do. The IRS does not call — they send letters like this one.

OPEN IT. READ IT. RESPOND.

ADDITIONAL NOTICES

Escalating reminder notices (CP501, CP503, CP504)

The IRS sends a series of increasingly urgent notices. The CP504 is a "Notice of Intent to Levy" — this is the last warning before enforcement action. State tax agencies are often faster and more aggressive than the IRS.

COLLECTION PROCESS HAS BEGUN

IF STILL IGNORED

Federal tax lien, levy, or passport restriction

A federal tax lien attaches to all your property and destroys your credit. A levy can seize bank accounts, wages, and assets directly. Owing more than $62,000 (2024 threshold, inflation-adjusted annually) to the IRS can result in your passport being denied or revoked.

ENFORCEMENT — GET PROFESSIONAL HELP IMMEDIATELY

IMPORTANT: TAX DEBT DOESN'T DISAPPEAR

Unlike most debts, IRS tax debt is almost never dischargeable in bankruptcy. It can follow you for a decade or more — the IRS generally has **10 years** from the date of assessment to collect. The snowball only gets bigger the longer you wait.

SOLUTIONS

There is always a *path forward*

The IRS offers several legitimate resolution options. The right one depends on your balance, your ability to pay, and how current your filings are.

01

File immediately — even an estimate

A reasonable estimate stops the 5% failure-to-file penalty today. You can always amend later — there is no penalty to amend a return. Done is better than perfect.

DO THIS FIRST

02

Short-term payment extension (180 days)

If your balance is under $100,000, request a 180-day extension online at IRS.gov — no financial disclosure required, no application fee. Buys 6 months to pay without a formal installment agreement.

IRS.GOV — FREE

03

Installment agreement (payment plan)

A formal payment plan of up to 72 months. You'll need to keep all future filings current. A tax professional can negotiate the most favorable terms.

UP TO 72 MONTHS

04

Currently Not Collectible (CNC) status

If paying would leave you unable to cover basic living expenses, the IRS can temporarily suspend collection activity. Interest still accrues, but no levy or lien action. Requires professional support.

FINANCIAL HARDSHIP

05

First-Time Penalty Abatement

Clean compliance history in the prior 3 tax years? The IRS may waive penalties upon request. One of the most underutilized options — and one of the first things an advisor should check.

OFTEN OVERLOOKED

06

Offer in Compromise

The "pennies on the dollar" settlement. In reality this is rare — the IRS only accepts offers from taxpayers who genuinely cannot pay now or in the future. Be wary of firms that promise this outcome.

RARE — VERIFY CAREFULLY

The most practical first move in most cases: Pay as much as you can today, file (or estimate) immediately, and request the 180-day short-term extension for the remainder. This stops the failure-to-file penalty, reduces the failure-to-pay rate, and gets you off the IRS's immediate radar.

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YOU DON'T HAVE TO FIGURE THIS OUT ALONE

Stop avoiding it. *Start resolving it.*

The anxiety of an unresolved tax situation is almost always worse than the situation itself. Most cases are manageable — but only if you take action. Every week you wait makes it more expensive.

01

Set up your free client portal — under 60 seconds

Message Brandon directly through the portal. No intake forms, no commitment. Just a direct line to get your questions answered and understand where you actually stand.

02

Free consultation — no pressure, no pitch

We'll review your situation together: what's owed, what penalties apply, which resolution options make sense for your specific case. You'll leave with a clear picture and a plan — not a sales pitch.

03

Get it resolved — and stay ahead going forward

Once we've addressed what's behind you, we'll set up a proactive plan so this never happens again. Year-round advisory means no more April surprises.

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This guide is for informational and educational purposes only. It does not constitute specific legal, tax, or financial advice for your individual situation. Penalty rates and thresholds are based on current IRS guidelines and are subject to change. Consult a qualified tax professional before making decisions regarding your tax obligations.

Sources: IRC § 6651(a)(1), IRC § 6651(a)(2), IRC § 6621, IRS Publication 594.